

Agenda Item 8-C

Discussion of Significant Changes to Requirements and Application Material

This paper provides background information on the significant changes made by the ISQM 2¹ Task Force (the Task Force) to the requirements and application material in the Exposure Draft of ISQM 2 (ED-ISQM 2), as reflected in the marked draft in **Agenda Item 8-D**, and the rationale for those changes. The changes to paragraph 41A(c) (previously paragraph 37(e)) and related application material in proposed ISQM 1² and to paragraphs 16 and 16A of proposed ISQM 2 are those made by the Task Force to the indicative drafting discussed with the IAASB in September 2019 (see [Agenda Item 7](#) for that meeting). This paper also includes cross-references for the significant changes that are discussed in more detail in the relevant sections of **Agenda Item 8** (Issues Paper).

Reference	Significant Changes and the Rationale for Those Changes
Engagements Subject to an Engagement Quality (EQ) Review	
Paragraph 41A(c) of proposed ISQM 1 and related application material	See Section II-A of Agenda Item 8.
Introduction	
Paragraph 2A	Added paragraph in response to comments from respondents to ED-ISQM 2 that it should be made clear early in the standard that an EQ review is only one response, among other alternatives, to address assessed quality risks in accordance with proposed ISQM 1. See relevant comments from respondents in paragraph 13 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.4 and Agenda Item 8-H.2.
Paragraph 2B	Added paragraph in response to comments from respondents and concerns about the scalability of proposed

¹ Proposed International Standard on Quality Management (ISQM) 2, *Engagement Quality Reviews*

² Proposed ISQM 1 (Previously International Standard on Quality Control 1), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

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	ISQM 2. See relevant comments from respondents in paragraph 51 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.18 and Agenda Item 8-H.9. The wording of the paragraph was patterned after paragraph 3 of ISA 540 (Revised),³ which similarly was intended to describe the inherent scalability of the standard. The example was added to illustrate how the procedures can be scaled for the EQ review of an engagement for a less complex entity for which fewer significant judgments are made by the engagement team. Comments from respondents about scalability generally were focused on this scenario. The Task Force considered including a corresponding example of upward scalability for a more complex engagement, but decided it was unnecessary because it would be obvious from the example provided. See also the new application material paragraph A28A, which deals with EQ reviews for group audit engagements and illustrates how the EQ reviewer's procedures would be scaled for more complex engagements. <i>Application Material</i> Added paragraph A0, which is patterned after paragraph A7 of ISA 540 (Revised), indicating paragraphs that provide guidance or include examples about how proposed ISQM 2 can be scaled.
Paragraph 7	Respondents to ED-ISQM 2 were concerned that the responsibilities of the EQ reviewer seem to be greater or more explicit than those of the engagement partner. See relevant comments from respondents in paragraph 33 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5. Accordingly, the Task Force revised the paragraph to indicate that the performance of an EQ review does not change the responsibilities of the engagement partner in accordance with proposed ISA 220 (Revised).⁴ In addition, the last part of the second sentence has been deleted as respondents noted that the engagement team may in fact change the nature, timing and extent of procedures in response to the EQ reviewer's comments.
Objective	
Paragraph 10	- Respondents to ED-ISQM 2 raised various comments about the wording of the objective, including that it: - Did not cover all aspects of the standard (e.g., did not address the appointment and eligibility of the EQ

³ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

⁴ Proposed International Standard on Auditing (ISA) 220 (Revised), *Quality Management for an Audit of Financial Statements*

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	reviewer); - o Only states the objective of the firm (i.e., should also address the EQ reviewer); and - o Is not sufficiently outcome-based. See relevant comments from respondents in paragraph 6 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.2 and Agenda Item 8-H.1. The Task Force revised the objective to include a reference to the EQ review being carried out by an eligible individual appointed by the firm, and to specifically state the intended outcome of the review (i.e., an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon). The Task Force discussed and reaffirmed that the objective should be written in terms of the firm because an EQ review is a firm response that is carried out at the engagement level. The Task Force also believes that the revised wording of the objective appropriately reflects the intended outcome of applying the requirements in the standard.
Requirements	
Appointment and Eligibility of EQ Reviewers	
Paragraph 15	<i>Application Material</i> • Changed the wording of the last bullet of paragraph A1 to align with the revised wording of paragraph 41A(c)(iii)(b) of proposed ISQM 1 as reflected in Agenda Item 8-B.
Paragraphs 16 and 16A	• See Section II-B of Agenda Item 8.
Paragraph 17	<i>Requirement</i> • In response to comments on ED-ISQM 2, paragraph 17(b) was revised to specifically indicate that the firm's policies or procedures that set forth the criteria for the eligibility of individuals who assist the EQ reviewer should address threats to objectivity of those individuals, similar to the requirement for the eligibility of the EQ reviewer in paragraph 16(b). See relevant comments from respondents in paragraph 26 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.8 and Agenda Item 8-H.4.

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	<i>Application Material</i> Added paragraph A18A to indicate that the examples of threats to objectivity in paragraph A15 also may be helpful when considering threats to objectivity of individuals assisting the EQ reviewer.
Paragraph 18	<i>Application Material</i> Added paragraph A19A in response to comments from respondents asking for guidance to clarify the nature and extent of work that could be assigned to individuals assisting the EQ reviewer, and the nature of direction and oversight of the assistants by the reviewer. See relevant comments from respondents in paragraph 33 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5.
Paragraphs 19 and 20	<i>Requirement (new sub-heading added)</i> - Although no changes were made to the requirements in these paragraphs from ED-ISQM 2, the Task Force added a sub-heading before paragraph 19 based on comments from respondents that the standard should more clearly indicate the requirements relating to circumstances when the EQ reviewer's eligibility has become impaired and a replacement EQ reviewer has been appointed. See relevant comments from respondents in paragraph 33 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5. <i>Application Material</i> - Added a sentence to paragraph A21 to indicate that the firm's policies or procedures may also specify the nature, timing and extent of the procedures to be performed by the individual appointed to replace the EQ reviewer to fulfill the performance requirements of proposed ISQM 2 when the eligibility of the originally appointed reviewer becomes impaired.
Performance of the EQ Review	
	<i>Responsibilities of the Firm</i>
Paragraph 21(b)	<i>Requirement</i>

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	Revised the wording of the requirement to more closely align with the wording relating to notification of the completion of the EQ review in paragraph 24. See relevant comments from respondents in paragraph 33 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5.
	<i>Responsibilities of the EQ Reviewer</i>
Paragraph 22	<i>Application Material</i> - Revised the wording of the second bullet of paragraph A27 to refer to any related guidance issued by the firm with respect to findings arising from the firm's monitoring activities, as such guidance may describe changes to the firm's methodology or policies that may be relevant to the EQ reviewer's determination of the nature and extent of procedures to perform. See relevant comments from respondents in paragraph 33 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5. - Added new paragraph A28A to provide considerations for an EQ review for a group audit engagement. See Section II-D of Agenda Item 8.
Paragraph 22(a)	<i>Requirement</i> - Paragraphs 28-34 of Agenda Item 8-F provide a high-level summary of the responses to question 5 in ED-ISQM 2 about the nature, timing and extent of the EQ reviewer's procedures. Comments from respondents were mainly about clarifying the nature, timing, extent of procedures, and how to document, or how to demonstrate compliance with, certain requirements in paragraph 22. See related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5. With respect to paragraph 22(a), respondents asked for clarification about what it means to read and 'understand' information obtained from the engagement team regarding the nature and circumstances of the engagement, or provided by the firm about the results of its monitoring and remediation activities. Other notable comments from respondents on this point included the following: - o Using the term "communicated" is preferable to "provided" because of the linkage to terminology used in ED-ISQM 1. - o The requirement is rather ambiguous and may be challenging to apply in practice.

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	- o Do not believe that the EQ reviewer should be required to read and understand such information to perform an EQ review. The Task Force noted that the intent of the requirement in paragraph 22(a), along with paragraph 22(b), was to provide adequate information to enable the EQ reviewer to make an informed selection of the engagement documentation to review relating to the significant judgments made by the engagement team in accordance with paragraph 22(c). Accordingly, the Task Force revised the wording of the requirement to “read, and obtain an understanding about, information communicated” by the engagement team and the firm, and added application material as noted below. <i>Application Material</i> • Added paragraph A28B to clarify that obtaining an understanding of information communicated by the engagement team and the firm in accordance with paragraph 22(a) may assist the EQ reviewer in understanding the significant judgments that may be expected for the engagement.
Paragraph 22(b)	<i>Requirement</i> • Added a reference to ‘significant judgments’ in response to comments indicating that the EQ reviewer should discuss both significant matters and significant judgments with the engagement partner and, if applicable, other members of the engagement team. Also added the reference to ‘made in planning, performing, concluding and reporting on the engagement’ as part of restructuring paragraphs 22(c) and 22(d) as explained below. <i>Application Material</i> • Deleted the last sentence in paragraph A31 in response to comments by respondents to ED-ISQM 2 that it was confusing to refer to the guidance in proposed ISA 220 (Revised) for purposes of identifying significant judgments in engagements other than audits of financial statements. • Added paragraph A31A to indicate that there may be circumstances in which the EQ reviewer, in the course of performing the EQ review, becomes aware of areas for which significant judgments would have been expected to be made by the engagement team.

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Paragraphs 22(c)-(d)	<i>Requirement</i> • Respondents to ED-ISQM 2 had the following comments and concerns about the wording of these paragraphs: - o The requirement to “identify the areas involving significant judgments made by the engagement team” seemed to place too much responsibility on the EQ reviewer, or raised questions about whether the EQ reviewer was expected to make an independent assessment about the completeness of the population of significant judgments identified by the engagement team, which would effectively mean reviewing all areas of the engagement and related documentation. - o The responsibilities of the EQ reviewer would be clearer if the two paragraphs were combined. The Task Force agreed with these comments and, accordingly, restructured the requirement to combine paragraphs 22(c) and (d) into what is now paragraph 22(c) in Agenda Item 8-D. The Task Force view is that the discussion with the engagement partner (or other engagement team members, if applicable), along with the information obtained from the engagement team about the nature and circumstances of the entity, will enable the EQ reviewer to become aware of the areas for which significant judgments would have been made. Based on that information, the EQ reviewer reviews selected engagement documentation in support of those significant judgments. <i>Application Material</i> • Added paragraph A31B to indicate that the firm’s policies or procedures may specify certain engagement documentation to be reviewed by the EQ reviewer, and that the reviewer otherwise exercises professional judgment in selecting any additional engagement documentation to be reviewed. • Added paragraph A31C - see Section II-C of Agenda Item 8.
Paragraph 22(d) (new)	<i>Requirement</i> • Respondents noted that ED-ISQM 2 did not include the requirement in paragraph 21(a) of extant ISA 220 for the EQ reviewer, for audits of listed entities, to consider the engagement team’s evaluation of the firm’s independence in relation to the audit engagement. The Task Force concluded that it would be appropriate, and in the public interest, for the revised standard to include a requirement, for all audits of financial statements, for the EQ reviewer to evaluate the engagement partner’s determination that relevant ethical requirements relating

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	to independence have been fulfilled. The wording of the requirement is aligned with paragraph 19 of proposed ISA 220 (Revised).
Paragraph 22(f)	<i>Requirement</i> - Revised the wording to align with the current wording in paragraph 37(a) of proposed ISA 220 (Revised). <i>Application Material</i> - Respondents to ED-ISQM 2 noted that only the first bullet of paragraph A33 was related to the requirement in paragraph 22(f) because the responsibility of the EQ reviewer focuses on significant judgments made by the engagement team and the conclusions reached thereon. Accordingly, the second bullet of paragraph A33 was deleted. Additional guidance was added to address comments questioning how the EQ reviewer would determine or evidence how the engagement partner's involvement has been sufficient and appropriate throughout the audit engagement in accordance with paragraph 37(a) of proposed ISA 220 (Revised).
Paragraph 22(g)	<i>Requirement</i> - Respondents were seeking clarification about whether the review of the financial statements and the auditor's report thereon requires a detailed review by the EQ reviewer to determine whether the reporting framework has been complied with, or whether the EQ reviewer only needs to review the disclosures in the financial statements that relate to the significant judgments made by the engagement team. Other respondents suggested adding relevant application material indicating that the review of the financial statements and the auditor's report thereon is performed to evaluate items such as: - The compliance of the auditor's report with appropriate professional standards, including the appropriateness of the report in relation to the conclusions reached in the audit of the financial statements. - The compliance of the financial statements with the applicable financial accounting framework. - When applicable, whether the description of key audit matters in the auditor's report is consistent with the documentation of such items in the engagement working papers. The Task Force noted that the intent of paragraph 22(g) was not to duplicate the level of review required of the engagement partner. Rather, the Task Force noted that this review is in the context of the EQ reviewer's

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	role and the objective of the EQ review. Accordingly, new application material was added as noted below. <i>Application Material</i> Added paragraphs A33B-A33C to clarify that the EQ reviewer's review of the financial statements and engagement reports may include consideration of whether the presentation and disclosure of matters relating to the significant judgments made by the engagement team are consistent with the EQ reviewer's understanding of those matters based on the review of selected engagement documentation.
Paragraph 23	<i>Application Material</i> Added a sentence to paragraph A35 in response to comments from respondents asking for clarification about who might be notified in the case of a smaller firm or a sole practitioner when the EQ reviewer has unresolved concerns that the significant judgments, or the conclusions reached thereon, are not appropriate. See relevant comments from respondents in paragraph 33 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.10 and Agenda Item 8-H.5.
Documentation	
Paragraph 27	<i>Requirement</i> - Paragraph 27(c) was revised to require documentation of the 'basis for' the EQ reviewer's determination in accordance with paragraph 24. The Task Force believes this is appropriate to avoid misinterpretation that the requirement could be fulfilled by simply indicating in the documentation that the EQ review has been completed. See relevant comments from respondents in paragraph 44 of Agenda Item 8-F, and in the related NVivo reports in Agenda Item G.16 and Agenda Item 8-H.8. <i>Application Material</i> - Clarified in paragraph A39 that the documentation of the EQ review may be completed after the dates of the engagement report, but before the assembly of the final engagement file, provided that all the requirements with respect to the performance of the EQ review have been fulfilled.